

Memorandum of Understanding
Flanagan Family 321 Trust

Trustee Succession, Interest Redistribution, and Administrative Update

Trust: Flanagan Family 321 Trust
Settlor: Dorothy E. Flanagan (deceased), Ellsworth, Maine
Date of Trust Agreement: 2005
Type: Irrevocable
Property: 321 Phillips Way, Ellsworth, ME 04605 (Branch Lake)
Hancock County, Maine
Deed Reference: TR 31 PG 07 PC 10
Date of this Memorandum: _____, 2026

I. Purpose and Authority

This Memorandum of Understanding ("MOU") formalizes all actions taken with respect to the Flanagan Family 321 Trust ("Trust") during the transition process completed in 2026. It serves as a single comprehensive record incorporating the following completed actions:

- A. The resignation of the initial Co-Trustees.
- B. The election and acceptance of Successor Co-Trustees.
- C. The recording of an Affidavit of Successor Trustee.
- D. The transfer of Trust banking and insurance accounts.
- E. The modification of beneficial interests pursuant to a Non-Judicial Settlement Agreement under 18-B M.R.S. Section 111.

The administrative actions (A through D) were taken under the authority of Article II of the Trust Agreement, which permits modification of administrative provisions for tax or administrative purposes so long as beneficial interests are not materially affected.

The substantive modifications (E) were executed by all interested persons pursuant to a Non-Judicial Settlement Agreement under 18-B M.R.S. Section 111 of the Maine Uniform Trust Code.

II. Resignation of Initial Co-Trustees

The initial Co-Trustees named in Article 10.1 of the Trust Agreement have resigned:

Jane E Birckhead – Resignation dated _____
Elizabeth Mary Young – Resignation dated _____

Each resignation was made pursuant to Article 10.2 of the Trust Agreement and 18-B M.R.S. Section 705 of the Maine Uniform Trust Code. Thirty (30) days' notice was provided to all beneficiaries. Signed Resignations of Trustee are incorporated herein by reference.

III. Election of Successor Co-Trustees

Pursuant to Article 10.2 of the Trust Agreement, a vote of the beneficiaries was conducted on _____, 2026. All five (5) of the Settlor's living children were eligible to vote:

- 1. Mary Jean Foss
- 2. John M. Flanagan
- 3. Jane E Birckhead
- 4. Elizabeth Mary Young
- 5. Christopher J. Flanagan

Result: A majority of the beneficiaries voted in favor of electing John M. Flanagan and Christopher J. Flanagan as Successor Co-Trustees.

Votes in Favor: _____

Votes Opposed: _____

Votes Abstain: _____

Both Successor Co-Trustees accepted their appointment and agreed to be bound by all terms of the Trust Agreement. The signed Record of Beneficiary Vote is incorporated herein by reference.

IV. Governance

Pursuant to Article 8.2 of the Trust Agreement, while only two (2) Trustees are serving, the concurrence and joinder of both shall be required for all matters pertaining to the administration of the Trust. This includes the assessment of fees (Article 5.3), the approval of capital improvements, and any potential sale of the Camp Property (Article 5.5).

V. Legal Title and Recording

An Affidavit of Successor Trustee was executed by John M. Flanagan and Christopher J. Flanagan and recorded in the Hancock County Registry of Deeds pursuant to 18-B M.R.S. Section 1013 of the Maine Uniform Trust Code.

Date of Recording: _____

Book: _____ Page: _____

This recording serves as public notice of the change in Trustees and confirms the authority of the Successor Co-Trustees to execute deeds, mortgages, and other instruments on behalf of the Trust with respect to the real property at 321 Phillips Way, Ellsworth, Maine (Deed Ref: TR 31 PG 07 PC 10).

VI. Administrative Transfer of Accounts

The Successor Co-Trustees have completed the following administrative transfers:

Banking: All Trust accounts at Camden National Bank have been transferred to the names of the Successor Co-Trustees.

Date completed: _____

Insurance: MMG Insurance Policy DW 0323180 has been updated to name the Successor Co-Trustees as the primary insured fiduciaries.

Date completed: _____

VII. Modification of Beneficial Interests

Pursuant to a Non-Judicial Settlement Agreement dated _____, 2026, executed by all interested persons under 18-B M.R.S. Section 111, the following modifications to beneficial interests were made. The complete Non-Judicial Settlement Agreement and its Exhibits are incorporated herein by reference.

A. Elizabeth Mary Young Interest Forfeiture

Elizabeth Mary Young voluntarily forfeited her entire beneficial interest in the Trust in exchange for:

Release from all financial obligations under Article 5.3.

A lifetime use right of one (1) aggregate week of summer use per calendar year for herself, Edward Joseph Young IV, and John Nelson Young.

This forfeiture includes all voting rights, all claims to sale proceeds, and all rights under Articles 5.5, 5.6, and 5.7. The forfeited interest was redistributed equally (5% each) to the four remaining branches.

See Non-Judicial Settlement Agreement, Section IV, and Exhibit A.

B. Transfer of Jean Foss's Interest

Mary Jean Foss transferred her entire 25% beneficial interest to her children:

Jennifer Yommer: 12.5%

Martha Foss: 12.5%

Jean relinquished all beneficial interest, voting rights, and financial obligations.

See Non-Judicial Settlement Agreement, Section V, and Exhibit B.

C. Transfer of Jane E Birckhead's Interest

Jane E Birckhead transferred her entire 25% beneficial interest to Joseph M Birckhead after Diana E Birckhead voluntarily forfeited and relinquished the 12.5% beneficial interest she would otherwise have received:

Joseph M Birckhead: 25.0%

Diana E Birckhead: 0.0%

Jane E Birckhead relinquished all beneficial interest, voting rights, and financial obligations. Diana E Birckhead relinquished all current beneficial interest, voting rights, use rights, purchase rights, sale-proceeds claims, and financial obligations associated with Jane E Birckhead's branch, subject to the re-entry provision in Exhibit C.

See Non-Judicial Settlement Agreement, Section VI, and Exhibit C.

D. Spousal Rights Clarification

The parties clarified the succession of beneficial interests with respect to spouses, supplementing Article 5.7. Upon a beneficiary's death, the Article 5.7 right of first refusal applies first. If not exercised, the interest passes to the beneficiary's adult children, or if none, to the surviving spouse as a bridge to the next generation.

See Non-Judicial Settlement Agreement, Section VII, and Exhibit D.

VIII. Final Ownership Structure

Following all actions described in this MOU, the beneficial interests in the Flanagan Family 321 Trust are as follows:

Beneficiary Interest Voting

John M. Flanagan 25.0% Yes

Christopher J. Flanagan 25.0% Yes

Jennifer Yommer 12.5% Yes

Martha Foss 12.5% Yes

Joseph M Birckhead 25.0% Yes

Total 100.0%

Lifetime Use Right Only (No Interest, No Vote, No Expenses):

Elizabeth Mary Young

Edward Joseph Young IV

John Nelson Young

– One (1) aggregate week of summer use per year

No Beneficial Interest (Transferred or Forfeited):

Mary Jean Foss

Jane E Birckhead

Diana E Birckhead

IX. Successor Co-Trustees

John M. Flanagan

Address: _____

Phone: _____

Email: _____

Christopher J. Flanagan

Address: _____

Phone: _____

Email: _____

X. Incorporated Documents

The following documents are incorporated into this MOU by reference and form part of the complete record of the Trust transition:

Phase 1 – Trustee Resignations

1. Resignation of Trustee – Jane E Birckhead
2. Resignation of Trustee – Elizabeth Mary Young

Phase 2 – Beneficiary Vote

3. Notice of Beneficiary Vote
4. Record of Beneficiary Vote for Election of Successor Trustees

Phase 3 – Recording and Administrative Transfer

5. Affidavit of Successor Trustee (recorded at Hancock County Registry of Deeds)
6. Bank Authorization Letter – Camden National Bank
7. Insurance Update Request – MMG Insurance (Policy DW 0323180)

Phase 4 – Beneficial Interest Modifications

8. Non-Judicial Settlement Agreement (18-B M.R.S. Section 111)
9. Exhibit A: Elizabeth Mary Young Forfeiture and Lifetime Use Right
10. Exhibit B: Transfer of Interest – Jean Foss to Jennifer Yommer and Martha Foss
11. Exhibit C: Transfer of Interest – Jane E Birckhead to Joseph M Birckhead with Diana E Birckhead forfeiture
12. Exhibit D: Spousal Rights Clarification

Original Trust Document

13. Flanagan Family 321 Trust Agreement (2005), Settlor: Dorothy E. Flanagan

XI. Governing Law

This MOU and all incorporated documents shall be governed by the laws of the State of Maine, including the Maine Uniform Trust Code (18-B M.R.S.), consistent with Article XIII of the Trust Agreement.

XII. Severability

If any provision of this MOU or any incorporated document is found to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

XIII. Acknowledgement and Signatures

Each undersigned party acknowledges that:

- a. They have read and understand the terms of this MOU.
- b. They have had the opportunity to consult with independent legal counsel.
- c. They execute this MOU voluntarily.
- d. All actions described herein have been completed as stated.

Successor Co-Trustees:

John M. Flanagan, Successor Co-Trustee

Signature: _____

Date: _____

Christopher J. Flanagan, Successor Co-Trustee

Signature: _____

Date: _____

Active Beneficiaries:

John M. Flanagan

Signature: _____

Date: _____

Christopher J. Flanagan

Signature: _____

Date: _____

Jennifer Yommer

Signature: _____

Date: _____

Martha Foss

Signature: _____

Date: _____

Joseph M Birkhead

Signature: _____

Date: _____

Former Beneficiaries / Transferors / Forfeiting Parties:

Mary Jean Foss
Signature: _____
Date: _____

Jane E Birckhead
Signature: _____
Date: _____

Elizabeth Mary Young
Signature: _____
Date: _____

Diana E Birckhead
Signature: _____
Date: _____

Lifetime Use Right Holders:

Edward Joseph Young IV
Signature: _____
Date: _____

John Nelson Young
Signature: _____
Date: _____

Notary Acknowledgement

STATE OF _____
COUNTY OF _____

On _____, 2026, before me, _____ (Notary Public), personally appeared the individuals whose signatures appear above, who proved to me on the basis of satisfactory evidence to be the persons whose names are subscribed to the within instrument and acknowledged to me that they executed the same voluntarily and in their authorized capacities.

I certify under PENALTY OF PERJURY under the laws of the State of _____ that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Signature: _____ (Seal)

Print Name: _____

My Commission Expires: _____